

**BEFORE THE
FEDERAL MARITIME COMMISSION**

DOCKET NO. 24-04

ICL USA, Inc.

vs.

**Dependable Highway Express, Inc. and Mediterranean
Shipping Company, (USA) Inc. on behalf of Mediterranean Shipping Company, S.A.**

**RESPONDENT DEPENDABLE HIGHWAY EXPRESS, INC.'S
PETITION FOR ATTORNEYS' FEES**

The prevailing party in a private party complaint proceeding under 46 U.S.C. § 41301(a) may petition for an award of attorney fees.¹ Respondent Dependable Highway Express, Inc. (“DHE”) is the prevailing party in this proceeding, and as such timely files this Petition pursuant to 46 CFR § 502.254 and 46 U.S.C. § 41305(e) seeking reasonable attorney fees from Complainant ICL USA, Inc. (“ICL”).

I. Petition Summary Background

DHE is a port drayage trucking company based in southern California. ICL was a party to a service contract with Mediterranean Shipping Company, (USA) Inc. on behalf of Mediterranean Shipping Company, S.A. (together “MSC”) for ocean carriage from foreign origins to southern

¹ (46 U.S.C. § 41305(e); 46 C.F.R. § 502.254; Fed. Mar. Comm., Statement of the Commission *On Attorney Fees*, Commission Docket No. 21-14 (FMC 2021)).

California. The relevant port drayage trucking services were performed by DHE for ICL from approximately August 2021 through February 2022. DHE duly invoiced ICL for its charges including the base dray freight charges, fuel surcharge, yard storage, and chassis rental. DHE also invoiced ICL for detention charges that were billed to DHE by MSC (and other VOCCs with whom ICL had service contracts) and paid by DHE, plus a contractual 10% administrative fee for such detention charges paid, and contractual interest. When DHE invoiced ICL for the detention charges it paid, it always did so by transparently attaching MSC's and the other VOCCs' original detention invoices to its bills.

ICL has refused to pay the full amount of the invoiced charges, and has specifically refused to pay any of the detention charges that DHE paid to MSC and other VOCCs on ICL's behalf. To this date, ICL has not paid DHE one penny in detention charges for the ICL containers that DHE drayed between August 2021 and February 2022. DHE filed a civil action in the United States District Court for the Central District of California alleging breach of contract against ICL and seeking payment of its fees and charges. In response, ICL filed this proceeding before the Commission and filed a Motion to Stay that federal court action pending resolution of this proceeding.

In this proceeding, ICL named both MSC and DHE as respondents. As to DHE, ICL sought an order compelling DHE to cease and desist from claiming certain detention charges (and the 10% administrative fee thereon), that DHE demands from ICL in its federal court action.² However, the claims alleged against DHE in this proceeding by ICL were merely "defenses" to DHE's breach of

² As to MSC, ICL sought an order compelling MSC to refund certain detention charges that ICL alleges were agreed between ICL and MSC to be "waived" but that MSC had not actually refunded. ICL may have had legitimate Shipping Act claims against MSC, a regulated entity, for charging detention when appointments were not available to return empty containers and for not actually refunding improper detention charges previously negotiated to be "waived". MSC was also dismissed with prejudice by ICL.

contact claims against ICL, twisted and contorted into Shipping Act violations and based on allegations lacking any factual basis and on legal theories not supported in law.

This Petition is being brought because ICL forced DHE to expend significant time and money in the defense of these objectively unreasonable and frivolous claims. In its Complaint ICL alleged specifically that (i) DHE was the “invoicing and collections” agent for MSC (the VOCC who charged DHE the detention at issue), and that (ii) DHE was “not a trucker” but in actuality was an “ocean common carrier and/or marine terminal operator” (despite that ICL hired DHE to perform port drayage trucking services).

ICL stipulated to dismiss this proceeding *without obtaining the cease and desist order it sought*. The Stipulation for Dismissal with prejudice specifically permits DHE to continue its federal court action against ICL. Prior to stipulating to dismiss, ICL forced DHE to incur over \$70,000 in attorneys’ fees researching and preparing FRCP Rule 12(b)(6) motions for dismissal, answering the complaint, propounding discovery, and preparing responses to discovery.

ICL’s sole purpose in initiating this proceeding was as a litigation tactic to delay DHE’s federal court action and to continue to avoid paying DHE for services rendered, thereby causing “unnecessary delay or needless increases in the cost of litigation”, in violation of 46 C.F.R. 502.6(a)³.

ICL’s complete lack of factual or legal support for its objectively unreasonable allegations warrant an award of attorneys’ fees here, including by serving a critical deterrence function in furtherance of the purposes of the Shipping Act. Such an award would not be detrimental or have a chilling impact on complainants raising potential violations of the Shipping Act, but instead

³46 C.F.R. Section 502.6(a) provides that ICL’s counsel’s signature on the Complaint “constitutes a certificate by the signer that ... to the best of the signer’s knowledge, information, and belief formed after reasonable inquiry, the filing is well grounded in fact and is warranted by existing law or a good faith argument ... and that it is not interposed for any improper purpose, such as to harass or to cause unnecessary delay or needless increase in the cost of litigation”.

would reinforce the premise that Commission proceedings are to be taken seriously and diligently, and that unsubstantiated legal theories, baseless mischaracterizations of facts, and the blind hope that the Commission will assert jurisdiction over unregulated entities outside of its statutory purview are an inappropriate use of Commission resources.

II. Legal Argument

This Petition is timely, DHE is eligible for an award of attorney fees, and DHE is entitled to such fees. DHE recognizes that, as the fee applicant, it bears the burden of establishing entitlement to an award of attorney fees, as well as documenting the appropriate hours expended and hourly rates. *Hensley v. Eckerhart*, 461 U.S. 424, 437 (1983); 46 C.F.R. § 502.254(d). In support of this Petition, DHE submits the Declaration of Robert J. Williams, detailing the time spent and the reasonable hourly rates of the attorney timekeepers associated with this proceeding. Respondents assert that an award of attorney fees, in whole or in part, is clearly both justified and consistent with the purposes of the Shipping Act and the key factors weighed by the Commission in such cases.

A. Timing

Pursuant to 46 CFR § 502.254, in order to recover attorney fees, the prevailing party must file a petition within 30 days after a decision becomes final. On August 2, 2024 the parties to this proceeding entered into the written Stipulation of Dismissal of this entire proceeding, with prejudice. On August 5, 2024 the Stipulation of Dismissal with prejudice was filed by ICL with the Commission in accordance with 46 C.F.R. § 502.72(a)(2). On August 12, 2024 the Secretary served upon the parties its Notice of Voluntary Dismissal with prejudice, fully and finally

dismissing this proceeding. This dismissal is administratively final for the purposes of 46 CFR § 502.254. Accordingly, this Petition dated August 30, 2024 is timely pursuant to 46 CFR § 502.254.

B. Eligibility

The Commission may only award attorney fees under § 41305(e) to a prevailing party in a private party complaint proceeding.⁴ In determining whether a party has “prevailed”, the Commission will look to federal case law, to the extent practicable.⁵ In determining whether a party has “prevailed”, the Commission looks for a “material alteration of the legal relationship of the parties in a manner which Congress sought to promote in the fee statute.”⁶ A respondent is generally a prevailing party when the presiding officer rebuffs a complainant’s claims by, for example, granting the complainant’s request for voluntary dismissal with prejudice.⁷ In this proceeding, without having obtained any of the relief sought based on DHE’s alleged Shipping Act violations, ICL as Complainant initiated the Stipulation for Dismissal with prejudice which all parties signed, and the Secretary issued a Notice of Voluntary Dismissal with prejudice based on such Stipulation. Accordingly, DHE is the “prevailing party” in this proceeding.

C. Entitlement

Under relevant regulations and Commission rules, precedent, and guidance, the primary consideration in determining entitlement to attorney fees is whether such an award is consistent with the purposes of the Shipping Act.⁸ The Commission also considers several other factors when addressing attorney fees, including frivolousness, motivation, objective unreasonableness (both in

⁴ Fed. Mar. Comm’n., Statement of the Commission *On Attorney Fees*, Commission Docket No. 21-14 (FMC 2021), at page 2.

⁵ Fed. Mar. Comm’n., Organization and Functions; Rules of Practice and Procedure; Attorney Fees, Commission Docket No. 15-16 (FMC 2016), 81 Fed. Reg. 10508 - 10519, at 10509.

⁶ Id.; 81 Fed. Reg. at 10512 (quoting *Tex. State Teachers Ass’n v. Garland Indep. Sch. Dist.*, 489 U.S. 782, 792-93 (1989)).

⁷ Fed. Mar. Comm’n., Statement of the Commission *On Attorney Fees*, Commission Docket No. 21-14 (FMC 2021), at page 3; *Baltic Auto Shipping, Inc. v. Hitrinov*, Docket No. 14-16, 2017 FMC LEXIS 16, *23-24 (FMC Oct. 25, 2017).

⁸ Fed. Mar. Comm’n Docket No. 21-14 (FMC 2021), p. 3, citing 81 Fed. Reg. at 10515).

the factual and in the legal components of the case) and the need in particular circumstances to advance considerations of compensation and deterrence.⁹

In particular, attorneys' fees have been awarded based on the violation of 46 C.F.R. § 502.6(a), which provides that ICL's counsel's signature on the Complaint:

“constitutes a certificate by the signer that ... to the best of the signer's knowledge, information, and belief formed after reasonable inquiry, the filing is well grounded in fact and is warranted by existing law or a good faith argument ... and that it is not interposed for any improper purpose, such as to harass or to cause unnecessary delay or needless increase in the cost of litigation”.

ICL conducted no inquiry into its factual allegations and has made legal arguments regarding DHE's alleged Shipping Act violations that are not supported by existing law or fact. Its actions and allegations in this proceeding lack merit and are objectively unreasonable and frivolous to the extent that an award of attorney fees will serve a critical deterrence function, consistent with the purposes of the Shipping Act.

1. The Context: DHE's Breach of Contract Action in Federal Court and ICL's Improper Motivation in Commencing this Proceeding

The relevant port drayage trucking services were performed by DHE between August 2021 and February 2022. For a year and a half DHE demanded payment in full for its services. ICL made partial payments but refused to pay the full amount owing, specifically refusing to pay any detention charges that DHE had incurred on its behalf. In July of 2023 DHE commenced its federal court action alleging common law breach of contract against ICL.¹⁰ ICL answered the federal complaint, in December of 2023 filed a motion to stay the federal action, and in January of 2024 initiated this proceeding.

⁹ (*Id.* at p. 4, *see also Edaf Antillas, Inc. v. Crowley Caribbean Logistics, Inc.*, Docket No. 14-04, 2016 WL 5110081 (F.M.C. Sept. 14, 2016) (“*Edaf*”).

¹⁰ That action is *Dependable Highway Express, Inc. v ICL USA, Inc. et al.*, number 2:23-cv-05484-DDP-E.

Over the course of nearly two years, from the initial demands for payment until this FMC Complaint, the parties and their counsel communicated and negotiated this dispute. There were payment demands and responses, emails and letters, and numerous telephone calls and Zoom calls, in which the *only* topics raised by ICL were defenses to DHE’s breach of contract claims, specifically that DHE’s performance failures caused the detention at issue to accrue. Then, out of the blue, *for the first time*, ICL alleged in its Complaint before the Commission that DHE had violated the Shipping Act, that it was not acting as a trucker who merely sought reimbursement of detention charges it had paid, but was rather acting as an “invoicing and collections” agent for MSC and as a “common carrier” responsible for the issuance of the allegedly improper detention invoices in the first place.

It may be that “the best defense a good offense”, but ICL knew or should have known that the allegations of Shipping Act violations by DHE were devoid of any factual basis or legal support. At best, ICL egregiously failed to conduct any inquiry to substantiate the factual elements of its allegations in the Complaint as required by 46 C.F.R. § 502.6(a). Like the complainant in the Commission’s decision to grant a fee award in *Edaf*, ICL failed to substantiate the legal and factual components of its case and forced DHE to expend significant resources of time and money in defense. And, because ICL stipulated to the dismissal of this proceeding, with prejudice, without obtaining the relief it wanted, that time and money expended served no purpose other than for ICL to “knowingly gamble on an unreasonable legal theory in order to achieve a secondary gain” of causing unnecessary delay and financial damage to DHE.¹¹

2. ICL’s Complaint and Briefing Filings Were Patently Devoid of Legal and Factual Bases to Support Allegations of Violations of 46 U.S.C. § 41104(a)(2)(A) of the Shipping Act

¹¹ Fed. Mar. Comm’n., Statement of the Commission *On Attorney Fees*, Commission Docket No. 21-14 (FMC 2021), at page 4.

The cause of action against DHE in ICL's Complaint is found in Count II, at page 13, in which ICL alleges violations of § 41104(a)(2)(A) of the Shipping Act by DHE.

Summary of Allegations Against DHE

The allegations are that:

- (i) DHE charged an administrative fee of 10% of certain detention charges when in fact DHE had not advanced MSC such detention charges, and
- (ii) DHE sought reimbursement of certain detention charges that were in fact paid to MSC and an administrative fee of 10% of such charges but ...
 - a. DHE should not have paid such detention charges or charged the 10% administrative fee because ...
 - b. DHE knew or should have known that:
 - 1. such detention charges amounted to violations of the Shipping Act by MSC, and
 - 2. a year after such detention charges were paid ICL would negotiate with MSC to obtain "waivers" and cause MSC to credit or refund certain of such detention charges back to DHE, and
 - 3. then another year after that ICL would name MSC as a Respondent in this proceeding and compel MSC to refund such charges and that DHE "will get full reimbursement" (Complaint, paragraph 26) of such charges.¹²

Factual Allegations

ICL alleges at paragraph 25 of the Complaint, line 2, that DHE sought the 10% administrative fee for detention funds advanced but that "these funds had not been advanced" (emphasis in original). The first time DHE became aware that ICL contended that DHE had not in fact paid detention charges (for which DHE sought the 10% administrative fee) was when DHE read ICL's Complaint in this proceeding in January of 2024. Prior to that, during hours of communication between the parties and their lawyers for almost two years, beginning with the initial demands for payment in February 2022 through multiple settlement discussions ending in

¹² The detention invoices issued to DHE by MSC were dated December 2021 and January 2022 and were due and payable immediately. DHE paid such detention charges between December 2021 and March 2022 (see Stipulation of Dismissal in this proceeding, paragraph 2). ICL never told DHE that it was negotiating with MSC to cause credits or refunds to be issued to DHE until February 2023. This FMC proceeding was not commenced until January 2024.

December 2023, including dozens of emails, letters, telephone calls, and Zoom calls, *ICL never once expressed to DHE any doubts that DHE had paid the detention charges, never once questioned whether DHE had paid the detention charges, and never once asked for proof that the detention charges had been paid.*

In other words, instead of raising the issue during the many hours of communications and negotiations between the parties and their lawyers during nearly two years before this proceeding was commenced, despite having had multiple opportunities to do so, and without conducting any inquiry whatsoever (let alone the “reasonable inquiry” required by 46 C.F.R. Section 502.6(a)), ICL simply alleged for the first time in its Complaint that DHE had not paid detention charges for which it sought the 10% administrative fee, and that such conduct amounted to a violation of the Shipping Act.

Even after the filing of its Complaint, in the discovery that ICL propounded upon DHE prior to the Stipulation of Dismissal of this proceeding with prejudice, ICL never requested proof that DHE paid the detention charges it claimed to have paid. Then, after six months of litigation in this proceeding during which DHE spent over \$70,000 in defense, acting in complete disregard whether its allegations were true or not, ICL simply stipulated that DHE indeed had paid all of the detention charges to MSC that it claimed to have paid. After alleging for the first time in its Complaint that DHE claimed the 10% administrative fee for detention that it never paid (and that such amounted to a violation of the Shipping Act), ICL simply changed its mind, decided that DHE had in fact paid all of the detention charges it claims to have paid, and stipulated to that effect, without obtaining any of the relief sought in the Complaint.

Similarly, without any inquiry as to whether it was true or not despite almost two years of open communication between the parties and their lawyers, ICL alleged in its Complaint that DHE was an “invoicing and collections” agent for MSC. As demonstrated by the Verification of Michael

Dougan, DHE's CFO, that accompanied DHE's Motion for Dismissal in this proceeding, the allegation that DHE was an "invoicing and collections" agent acting on behalf of MSC is entirely incorrect. In reality DHE is not and never has been an agent of MSC. There is no express or implied agency relationship existing between DHE and MSC. DHE has never had any conversations or discussions with MSC about becoming its "invoicing and collections" agent, and DHE has no authority from MSC to invoice or collect detention charges on behalf of MSC.¹³ ICL's "agency" theory is a complete fiction and not "well grounded in fact" within the meaning of 46 C.F.R § 502.6(a).

Legal Theories

ICL's legal theories as set forth above are patently frivolous and have no support whatsoever in the governing law. ICL alleged that DHE violated 46 U.S.C. § 41104(a)(2)(A) which provides that:

"a common carrier, either alone or in conjunction with any other person, directly or indirectly, shall not ... provide service in the liner trade that is ... not in accordance with the rates, charges, classifications, rules, and practices contained in a tariff published or a service contract entered into under chapter 405 of this title, unless excepted or exempted under section 40103 or 40501(a)(2) of this title."

On its face, 46 U.S.C. § 41104(a)(2)(A) *only* regulates common carriers. DHE is not a "common carrier"¹⁴, it provides no transportation by water, it is a port drayage trucker. ICL knows that DHE is a port drayage trucker because that is what ICL hired DHE to do. Thus, the statute alleged to be violated, on its face, does not even apply to DHE.

¹³ Even if Dependable were an agent for the MSC Respondents, which is denied, both the Commission and the courts have recognized that an agent of a regulated entity is not itself a regulated entity unless it independently meets the statutory requirements for such an entity. *Landstar Express Am., Inc. v. FMC*, 569 F.3d 493 (DC Cir. 2009).

¹⁴ 46 U.S.C. § 40102(7) defines a "common carrier" as "a person that ...holds itself out to the general public to provide transportation by water of passengers or cargo between the United States and a foreign country for compensation."

ICL alleges, however, under item (i) in the Summary of Allegations above, that DHE somehow by operation of law “becomes” a common carrier because it sought to recover from ICL a 10% administrative fee for detention charges that it allegedly never paid. Even if this factual assertion were true (it is not – as ICL has now stipulated), there is virtually no support in any applicable statutes, regulations, or case law for the legal conclusion that a trucker who seeks an administrative fee¹⁵ for detention charges that it never paid thereby becomes a “common carrier” acting in violation of the Shipping Act. Such alleged conduct may be reprehensible and may be a defense to DHE’s claim for payment of the 10% administrative fee in the federal court action against ICL, but there is no support for the proposition that a trucker, by virtue of such conduct, becomes a “common carrier” acting in violation of the Shipping Act.

Under item (ii) of the Summary of Allegations above, ICL’s legal argument would impose upon a trucker the affirmative legal obligation to determine the validity under the Shipping Act of every detention invoice that it receives, despite that the trucker is not a party to, and knows nothing about, the service contract from which the essential terms of detention emanate, such as the number of free days, the daily detention rate, and whether detention is to be charged regardless whether empty containers can be returned. Thus (so ICL’s argument goes), if a port drayage trucker pays a detention invoice in order to avoid being “shut out” from doing business at a terminal¹⁶, and the detention charges eventually turn out to have been improperly assessed by the regulated entity

¹⁵ Such an administrative fee is not a “demurrage” or “detention” charge itself. Port drayage truckers commonly charge an administrative fee for detention and demurrage charges advanced. Such a charge is not compensation for the use of terminal land (demurrage) or compensation for the use of equipment (per diem or detention). Such a charge reflects the cost of funds outlaid, the increased credit risk, and the additional administrative cost incurred in billing and collecting.

¹⁶ The Commission is well aware of the risk that truckers face of being “shut out” of terminals for nonpayment of detention charges, despite that such charges emanate from the service contract that the truckers are not parties to. Fed. Mar. Comm’n, *Final Interpretive Rule on Demurrage and Detention Under the Shipping Act* Issued April 28, 2020, published at 85 FR 29638 on May 20, 2020, at page 29961.

under the Shipping Act, then the trucker thereby becomes a “common carrier” and becomes liable under 46 U.S.C. § 41104(a)(2)(A) for the improper assessment of the detention charges!

Not only is there no legal support for this proposition, it is directly contradicted by the Commission’s *Final Rule on Demurrage and Detention* billing practices of February 2024.¹⁷ The commentary to that Final Rule specifically conflicts with ICL’s argument on this point, stating that:

“the burden of issuing a correct invoice should not rely on an incorrectly billed party to dispute the incorrect invoice”.¹⁸

Although the Commission’s Final Rule was not published until shortly after the filing of ICL’s Complaint, the Final Rule was the culmination of years of publicly available, well documented, regulatory history on the topic, including the Proposed Interpretative Rule¹⁹, the Final Interpretative Rule²⁰, and the Notice of Proposed Rulemaking²¹. This body of regulatory activity has long made clear that the purposes of the Shipping Act are not furthered by making truckers responsible for detention, that truckers do not have a commercial relationship with the regulated entities who issue the detention invoices, that truckers do not have knowledge of the terms of the service contracts in which the terms and conditions of detention are found and cannot analyze the accuracy of detention charges when billing issues arise, that truckers are usually innocent third-parties being dragged into billing disputes involving service contracts to which they are not parties, who have no contractual leverage or negotiating power, and who are forced to pay the detention invoices in order to continue their livelihood and to avoid being “shut out” of terminals, and (most

¹⁷ Fed. Mar. Comm’n, *Final Rule on Demurrage and Detention*, published at 89 FR 14330 – 14363 on February 26, 2024.

¹⁸ *Id.*, at 14356 – 14357.

¹⁹ Fed. Mar. Comm’n, *Proposed Interpretative Rule on Demurrage and Detention* Issued September 13, 2019, published at 84 FR 48850 – 48856 on September 17, 2019.

²⁰ Fed. Mar. Comm’n., *Final Interpretative Rule on Demurrage and Detention Under the Shipping Act* Issued April 28, 2020, published at 85 FR 29638 – 29666 on May 20, 2020.

²¹ Fed. Mar. Comm’n., Notice of Proposed Rulemaking, *Demurrage and Detention Billing Requirements* Issued October 7, 2022, published at 87 FR 62341 – 62358.

importantly) that truckers have no control over whether detention is charged in a manner that serves the intended primary purpose of detention which is to promote freight fluidity in accordance with the Incentive Principle codified at 46 C.F.R § 545.5(c).

To further “round out” the absurdity of ICL’s legal theories, ICL alleges in its Complaint that, not only should DHE have known that the detention charges amounted to violations of the Shipping Act by MSC, but DHE knew or should have known:

- that a *full year after* such detention charges were paid by DHE, ICL would negotiate with MSC to obtain “waivers”²² and cause MSC to agree to credit or refund certain detention charges back to DHE, and
- then *another year after that* (after MSC apparently failed to honor the waivers it had negotiated with ICL), ICL would name MSC as a Respondent in this proceeding and compel MSC to refund such charges and that DHE “will get full reimbursement” (Complaint, paragraph 26) of such charges.

The use of the future tense in paragraph 26 of the Complaint says it all. The “full reimbursement” had not happened as of the filing of ICL’s Complaint, and it has not even happened yet. There are still detention charges that DHE has paid to MSC that MSC declines to refund and that DHE seeks to recover from ICL in the federal court action. Yet, (according to ICL’s logic) DHE has allegedly violated the Shipping Act because it knew or should have known that an event *that had not happened as of the time of the Complaint, and has not even happened yet*, would happen!

ICL did not have to add DHE as a respondent in this proceeding. It could have brought MSC alone before the Commission, it could have alleged Shipping Act violations against MSC regarding its detention practices, it could have forced MSC to honor the “waivers” of detention charges that MSC allegedly negotiated, and it could have raised its defenses to DHE’s common law contract claims in the federal court action. But ICL did not do that. Instead, its strategy was

²² ICL did not advise DHE that it was behind the scenes negotiating with MSC for refunds of any detention paid by DHE until DHE asked ICL that question. After a credit from MSC was received by DHE out of the blue in February of 2023, almost a year after the detention was paid, DHE’s counsel wrote an email to ICL’s counsel asking if ICL was responsible for the credit, and ICL confirmed that indeed the issuance of the credit was the result of negotiations between ICL and MSC.

to contort such defenses into Shipping Act violations on the part of DHE, name DHE as a Respondent before the Commission, and drag DHE into ICL's billing dispute with MSC. In order to do that, ICL necessarily had to allege facts that are not true and legal theories that have no merit. ICL had to allege without any factual basis, for example, that DHE was MSC's "invoicing and collections" agent, and that DHE acted "in conjunction with" MSC to improperly invoice detention charges within the meaning of 46 U.S.C. § 41104(a)(2)(A), and that DHE sought payment of the 10% administrative fee on detention that it did not pay, and that DHE knew or should have known that MSC's original detention charges violated the Shipping Act and that they would be refunded (even though to this day they have not been fully refunded).

While liability for attorneys' fees should not be imposed in a way that would chill the filing of meritorious claims, ICL's § 41104(a)(2)(A) claims were unsubstantiated, improperly motivated, and unsupported by the law or Commission precedent. An award of attorney fees is warranted here to serve a vital deterrence function in furtherance of the purposes of the Shipping Act and would not have a chilling impact on future complainants, but rather remind them that Commission proceedings are to be taken seriously, and require adherence to the Presiding Officer's orders, Commission rules and precedent, and associated pleading standards.

C. Counsel of Record and Reasonableness of Fees

In support of this Petition, DHE submits the Declaration of Robert J. Williams (the "Declaration"), together with detail regarding the time spent and hourly rates of the attorney timekeepers associated with this proceeding. As described in further detail in the Declaration, the time spent defending DHE in this proceeding is reasonable, and the hourly rates for each attorney

timekeeper are well within the recognized guidelines used by federal courts to determine reasonableness, including the Laffey Matrix²³ and the Fitzpatrick Matrix²⁴.

The attorney who performed the large majority of the work on this case was Robert Williams, with additional support provided by Brad Hughes and Elizabeth Evans of Clark Hill's Los Angeles office.²⁵

- Robert Williams is a transportation and logistics specialist who has spent most of his career in the oceanfreight, airfreight, warehousing, and trucking industries. In 2024, Robert Williams was 39 years out of law school and his lodestar rate is \$740 per hour (compared to the Fitzpatrick Matrix rate of \$807 in 2023 and Laffey Matrix rate of \$1,057 in 2023).
- In 2024, Brad Hughes was 18 years out of law school and his rate is \$450 per hour, reflecting a 45% discount from his standard billing rate for that time period of \$815 per hour (compared to the Fitzpatrick Matrix rate of \$807 in 2023 and Laffey Matrix rates of \$997 - \$1,057 for the time period).
- In 2024 Elizabeth Evans was 13 years out of law school and her rate is \$390 per hour, reflecting a 33% discount from her standard billing rate for that time period of \$575 per hour (compared to the Fitzpatrick Matrix rate of \$568 in 2023 and Laffey Matrix rates of \$508 - \$538 for the time period).

²³ The Updated Laffey Matrix has been relied upon by the Commission and courts to determine reasonable attorney fees. *Edaf Antillas, Inc.*, Docket No. 14-04, Order Granting Petition for Attorney Fees at p. 15 (FMC Sep. 14, 2016), <http://www.laffeymatrix.com/see.html>.

²⁴ The fees set out in the Fitzpatrick Matrix offer the more appropriate measure of the prevailing market rates for complex federal litigation in the District of Columbia. *J.T. v. D.C.*, 652 F. Supp. 3d 11, 36 (D.D.C. 2023), <https://www.justice.gov/usao-dc/media/1353286/dl?inline>.

²⁵ Clark Hill's L.A. office is counsel of record in DHE's federal court action against ICL in the Central District of California.

The Declaration also identifies the specific costs associated with the various phases of this proceeding.

- The total hours spent by attorney Williams for DHE's Rule 12(b)(6) motion and related briefing were 55.7 hours, totaling **\$41,218.00** (Declaration at ¶ 7), which included: (i) assessing the Complaint and preparing related response strategy; (ii) conferences between counsel representing DHE in the federal court action and counsel representing DHE before the Commission, (iii) conferring with DHE's corporate and finance departments regarding the Complaint; (iv) researching the applicable law and regulations; (v) drafting, finalizing, and filing DHE's Rule 12(b)(6) Motion; (vi) reviewing ICL's Opposition to DHE's Motion, (vii) researching, drafting, finalizing and filing DHE's Reply to ICL's Opposition to DHE's Motion, (viii) reviewing ICL's dismissal of MSC from the proceeding, (ix) researching the Commission's Final Rule on Detention and Demurrage, and (x) status reporting to DHE.
- The total hours spent by attorney Williams on the preparation and filing of the Answer to the Complaint including Affirmative Defenses, including conferences with co-counsel, were 3.9 hours, totaling **\$2,886.00** (Declaration at ¶ 8).
- The total hours spent by attorney Williams after the proceeding was at issue but before the Stipulation for Dismissal were 21.7 hours, totaling **\$16,058.00** (Declaration at ¶ 9). This included (i) revising spreadsheets showing the detention amounts due, the interest charged, and the reduction in amounts due and the halting of accrual of interest based on refunds received from MSC; (ii) correspondence with MSC's counsel regarding waivers of detention charges and refunds issued and to be issued; (iii) CADRS dispute resolution, (iv) preparation of the Joint Status Report., (v) conferences with DHE and co-counsel regarding the propounding of discovery, (vi) conferences with DHE and co-counsel regarding

responses to ICL discovery, (vii) conferences with co-counsel and preparation of Initial Disclosures, and viii) status reporting to DHE.

- The total hours spent by attorney Williams during the dismissal stage of the proceeding were 2.6 hours, totaling **\$1,924.00** (Declaration at ¶ 10). This included reviewing and assessing all of MSC's and ICL's proposed terms and conditions of the Stipulation of Dismissal with prejudice and related correspondence between the parties, conferences with co-counsel, and status reporting to DHE.
- Attorney Hughes spent approximately 5 hours assisting attorney Williams on various tasks throughout this proceeding, totaling **\$2,250.00** (Declaration at ¶ 11). Attorney Evans spent approximately 15 hours assisting attorney Williams on various tasks throughout this proceeding, totaling **\$5,850.00** (Declaration at ¶ 11).
- The total fees incurred by DHE in its defense of ICL's Complaint, not including the fees incurred in researching and drafting this Petition, total **\$70,186** (Declaration at ¶ 12).

All of the attorney fees and billable rates described herein and in the Declaration were reasonable in light of ICL's allegations, litigation conduct, and the diligence required in preparing and conducting DHE's defense. Accordingly, DHE seeks an award of **\$70,186.00** in legal fees between January 12, 2024 and August 5, 2024) as the prevailing party in this proceeding.

III. Conclusion

DHE has demonstrated that it meets all relevant criteria under FMC Guidelines for an award of attorney's fees, and that such fee request is reasonable.

The stated purpose of the Shipping Act of 1984 is to "provide an efficient and economic transportation system in the ocean commerce of the United States," and one means to achieve that purpose is through the Commission's many processes for resolving disputes between parties.

(*Edaf*, 2016 WL 5110081 at *13). It is imperative to that purpose that parties are able to raise meritorious claims and seek resolution of disputes. But with those principles in mind, the Commission must also seek to deter frivolous, objectively unreasonable claims that make false, unsubstantiated allegations without any inquiry, and claims that improperly seek to take advantage of the Commission forum to espouse meritless arguments which are patently devoid of legal and factual bases, for improper purposes such as to delay other proceedings and to increase the costs of litigation. Such claims and proceedings, including the instant proceeding, warrant compensation for the prevailing parties – and will not serve to chill future complainants from raising meritorious claims, but rather function as an effectuation of the FMC Guidelines in emphasizing appropriate litigant behavior before the Commission.

DHE therefore respectfully requests that the Presiding Officer grant this Petition and find that DHE is eligible and entitled to attorney's fees from ICL in the amount of **\$70,186.00**. DHE further requests that in the event this Petition is granted, ICL also be ordered to pay the legal fees incurred in preparing this Petition, according to proof.

A handwritten signature in blue ink, appearing to read 'R. Williams', followed by a horizontal line.

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